

BETROTHY

# DRAFT Investment Agreement (SAFE) — FOR DISCUSSION ONLY

## READ THIS FIRST

This is a DRAFT template, not a finished legal contract. Do not sign it or send it to investors as-is. It exists so you can capture your intended terms and hand them to a lawyer. It is **not legal, tax, or financial advice**, and it has **not** been reviewed by an attorney.

**Strongly recommended path:** use the **official Y Combinator post-money SAFE**, the market-standard document used by thousands of startups, instead of a homemade contract. Download it free from [ycombinator.com/documents](https://ycombinator.com/documents) and have a securities attorney fill it in and run the round. This file just helps you decide the numbers that go into it.

**Securities law applies.** Selling equity (including SAFEs) is regulated. You must comply with the law in your jurisdiction (in the US, typically an exemption such as Regulation D, with rules about accredited vs non-accredited investors and required filings). A lawyer is not optional here.

## 1. What a SAFE is, in one sentence

A SAFE (Simple Agreement for Future Equity) is the company's promise to give the investor equity in the future (when you raise a priced round, get acquired, or similar), in exchange for money paid now. It is not a loan and not stock yet.

## 2. Deal term sheet (fill in the brackets)

These are the only numbers most of the decision comes down to. Decide them, then a lawyer puts them into the official SAFE.

| Term                         | Your value                                            | Notes                                                               |
|------------------------------|-------------------------------------------------------|---------------------------------------------------------------------|
| Company                      | [Betrothy, Inc.], a<br>[Delaware] [C-<br>corporation] | The entity issuing the<br>SAFE (form one if you<br>have not)        |
| Investor                     | [Full legal name]                                     | One SAFE per investor                                               |
| Purchase amount              | [\$ _____]                                            | What this investor pays<br>now                                      |
| Post-money valuation cap     | [\$1,000,000]                                         | Ownership at conversion<br>is roughly purchase<br>amount / cap      |
| Discount rate                | [none, or e.g. 80% (a 20%<br>discount)]               | Optional; lower price for<br>the investor at conversion             |
| Most-favored-nation<br>(MFN) | [yes / no]                                            | Optional; lets the investor<br>match better terms you<br>give later |
| Pro-rata / side letter       | [yes / no]                                            | Optional; right to invest<br>again in the next round                |
| Governing law                | [State of _____]                                      | Usually your state of<br>incorporation                              |
| Date                         | [_____]                                               | Date of signing                                                     |

**Worked example:** a [\$10,000] purchase amount at a [\$1,000,000] post-money cap converts to roughly 1% of the company (before future dilution). See [equity-and-cap-table.md](#) and the [calculator](#).

## 3. Summary of how the official SAFE behaves

The official YC post-money SAFE already contains the full legal text for all of this; you do not write these clauses yourself. In summary, it says:

- **On a priced equity round:** the SAFE automatically converts into shares, at the better of the valuation cap or the round price (and the discount, if any).
- **On a sale or acquisition (liquidity event):** the investor chooses to get their money back or convert to equity, per the document's formula.
- **On dissolution (the company shuts down):** the investor is repaid from whatever assets remain, after creditors, before founders (subject to the document's terms).
- **No interest, no maturity date, no dividends, no control:** a SAFE holder is not a lender and not yet a shareholder, and typically has no voting rights until conversion.

If any of those points are not what you intend, that is exactly the kind of thing to raise with your attorney.

## 4. Skeleton (placeholder only — replace with the official SAFE)

The following is a minimal skeleton to show structure. **It is intentionally not a complete or final agreement. Do not use it to close an investment.** Use the official YC SAFE instead.

### SIMPLE AGREEMENT FOR FUTURE EQUITY (DRAFT SKELETON)

This certifies that in exchange for the payment by [Investor Name] (the "Investor") of [\$\_\_\_\_\_] (the "Purchase Amount") on or about [Date], [Betrothy, Inc.], a [Delaware] corporation (the "Company"), issues to the Investor the right to certain shares of the Company's capital stock, subject to the terms below.

1. Valuation Cap: [\$1,000,000] (post-money).
2. Discount Rate: [none / \_\_%].
3. Events (equity financing, liquidity event, dissolution), conversion mechanics, definitions, representations, and miscellaneous terms: PER THE OFFICIAL Y COMBINATOR POST-MONEY SAFE, which the parties will execute in place of this skeleton.

[Signature blocks for the Company (by an authorized officer) and the Investor.]

## 5. Execution checklist

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- ☐ Form the company entity (e.g., a Delaware C-corp) if you have not.
  - ☐ Engage a securities attorney; confirm the right exemption and any filings.
  - ☐ Confirm each investor's status (accredited vs non-accredited) and limits.
  - ☐ Set the cap, purchase amounts, and any discount.
  - ☐ Use the official YC post-money SAFE, filled in with the agreed terms.
  - ☐ Both parties sign; the Company countersigns.
  - ☐ Collect funds and record the SAFE on your cap table.
  - ☐ Send each investor a countersigned copy for their records.
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*This document is a draft template provided for discussion only. It is not an offer or solicitation, not a finished legal agreement, and not legal, tax, accounting, or investment advice. Do not rely on it to issue securities. Consult a qualified securities attorney and use the official Y Combinator SAFE documents.*